

Laopu Gold (6181.HK): Gold price weighs on sales yet supports margin; cut earnings/TP on growth deceleration but remain Buy rated

Since Laopu's price hike on Feb 28th, the gold price has corrected by >20% to ~US\$4,100/oz, which has weighed on Laopu's sales performance as a fixed price-based player. Based on our tracker, Laopu's Tmall flagship store sales declined by 63% yoy in 2Q26 compared to 155% yoy growth in 1Q26 with pressure during 618 from a high base/with offline dilution; while we expect the overall offline sales performance to be better than online and continuous customer acquisition should still provide support, the relatively price sensitive demand (including reseller demand) also contributed to the high base last year and we expect it to be relatively weak, with Laopu's per gram price at high DD% to >100% premium to weight based product currently. We also note weight-based products have been outperforming amid the gold price pull back, where both Chow Tai Fook and Luk Fook saw solid SSSG in 2Q driven by strong growth of fixed priced products.

On the positive side, we note Laopu's brand popularity remains healthy and ahead of other heritage gold-focused brands, evidenced by an increase in followers/discussions on social media platforms. The company has been testing LSD%-MSD% lower price via new products/allowing stacks of membership discount during promotion, which saw positive initial impact on demand (for example, Shanghai's Xintiandi store allows stack discounts, and saw 1-2 hour queues during the weekend, according to social media platforms). That said, customer perception on brand positioning also needs to be watched if the company further rolls out these pricing actions.

We revise down 2026 earnings by 9% to Rmb8bn with slower growth outlook for 2H amid a weaker gold price backdrop, while 1H26 net income forecast remains at Rmb4.7bn (or Rmb4.8bn adjusted NP) with lowered sales offset by higher GPM on favorable inventory procurement price. For 2027-28E, we lower our earnings forecast by 19%-22% driven by topline. That said, with the stock currently trading at 7x 2026 P/E, we believe the demand pressure has been reflected in market expectation. If the gold price stabilizes or picks up (currently at ~US\$4,100/oz, and GS forecast price to reach US\$4,900 at year end), we would expect the worst backdrop for sales to be behind us, with gradual consumption sentiment recovery post price hikes, digestion of reseller inventory, and new product launches (including lowered prices) stimulating customer demand. Laopu's dividend yield is also high at ~10%. Remain Buy rated with a TP of HK\$650 (from HK\$1,108 prior, based on lowered 2026 P/E of 13X).

Xinyu Ruan
+852-2978-7347 | xinyu.ruan@gs.com
Goldman Sachs (Asia) L.L.C.

Michelle Cheng
+852-2978-6631 | michelle.cheng@gs.com
Goldman Sachs (Asia) L.L.C.

Molly Dai
+852-3966-4000 | molly.dai@gs.com
Goldman Sachs (Asia) L.L.C.

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html. Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

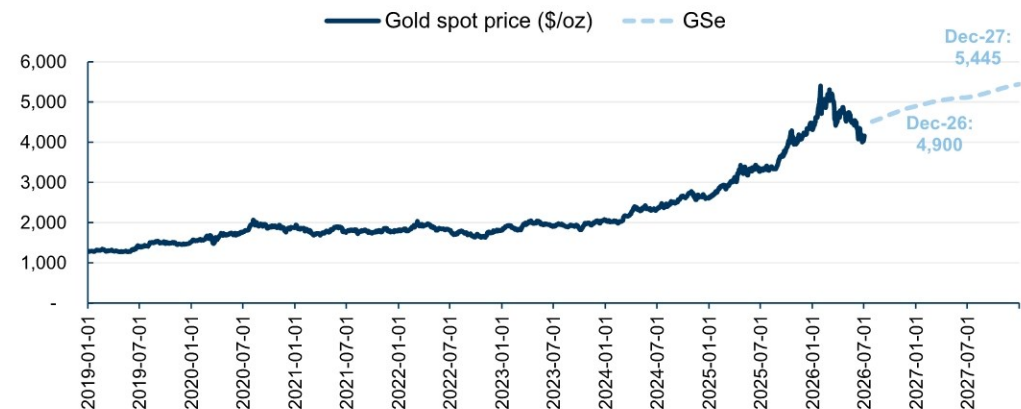
Pricing: expanded premium to weight based products; but testing lower price

Laopu conducted 20%–30% price hike on Feb 28th when the gold price was at a relatively high level of >US\$5000/oz. That said, since the price hike, the gold price has corrected by >20%. While we believe Laopu's advantage in products and customer experience backs its price premium and continues to attract less price sensitive customers (Laopu has c.80% customer overlap with global luxury brands as of Mar 2026), relatively price sensitive demand (including purchase from resellers) also backs Laopu's strong sales performance in 2025/2026 CNY, especially when Laopu's price hike magnitude was below the gold price increase. Currently, at a gold price of ~US\$4100/oz and assuming Laopu procures inventory at this level, it implies Laopu is able to reach ~50% GPM after discount, vs. company's target GPM of 40%. This also implies ~teens% per gram price premium to Chow Tai Fook's fixed priced products, or high DD% (for pure gold) to >100% (for gem set) premium to per gram price of weight based product currently. The gold price correction has brought pressure to Laopu's near term sales — in the online channel, our tracker suggests 63% yoy decline in 2Q26 (vs. +155% growth in 1Q26); in the offline channel, we expect the overall performance to be better than online and new store addition (store count was up low teens% in 1H26 yoy) is a support, while there has also been divergence across channels where the channels with higher reseller exposure underperformed.

While Laopu's existing product price and discount magnitude (10% discount during promotion period) remains stable, we note the brand has been testing market feedback on lower prices via: 1) select newly launched products, with a per gram price at ~Rmb2,100–2,200/2,700–2,800 for pure gold/gem set products (or below 2,000/2,400–2,500 after 10% discount), which is c.3% cheaper than existing products based on our tracker; 2) in select promotions, 5% membership discount is able to be added on top of 10% promotion discounts, implying mid-teens% discount level (vs. 10% previously, or maximum low teens% discount if adding shopping mall points) — e.g. in recently upgraded Shanghai Xintiandi stores, there were 1–2 hour weekend line-up during the promotion according to social media platforms.

Exhibit 1: Laopu historical price hike

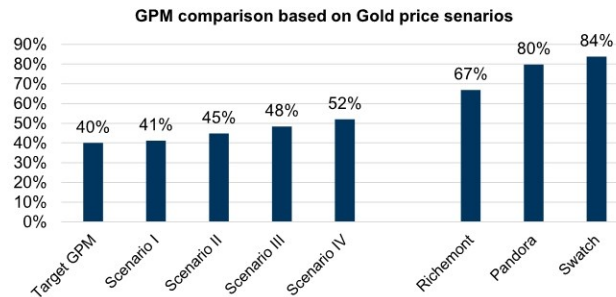
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: GS expects COMEX gold price to reach \$4,900 by Dec-26, implying ~18% upside from now

Source: Refinitiv Eikon, Goldman Sachs Global Investment Research

Exhibit 3: Post the Feb price hike, Laopu is able to reach 40% GPM when gold price at ~USD5000; gold price decline translates to further GPM upside

Scenario (post Feb price hike, with 10% discount)					
	Target GPM	I	II	III	IV
Gold price (USD/oz)	5,000	4,900	4,600	4,300	4,000
COGS per 100 revenue	60	59	55	52	48
GPM	40%	41%	45%	48%	52%



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Laopu's per gram price premium to weight based products has notably expanded since price hike; but the company has been testing lower prices for newly launched products

Rmb per gram of fixed-price products (Tag price)

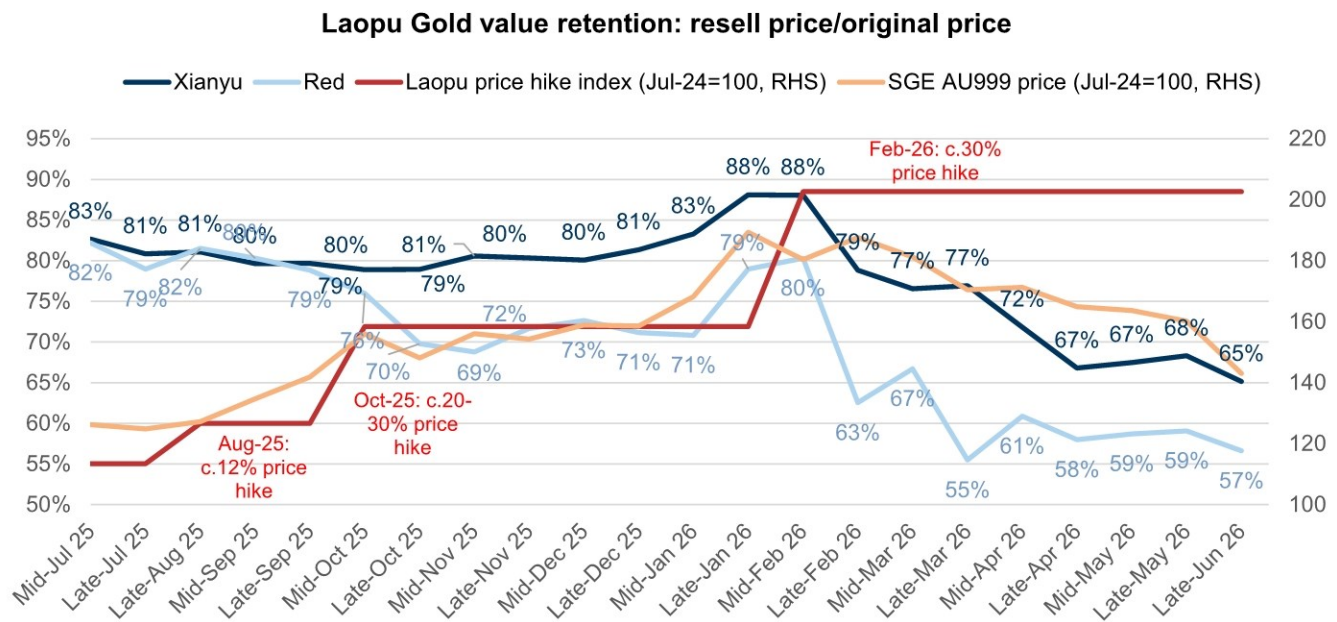
Brands	Laopu				Jemper			Borland		
Product types	Pure gold	Gem-set	New pure gold	New gem set	Pure gold	Gem-set	New product	Pure gold	Gem-set	New product
Product images										
Jan-26	1,723	2,180			N.A.	2,175		1,943	2,669	
vs SGE gold price	52%	92%				91%		71%	135%	
vs CTF weighted gold price	14%	44%				43%		28%	76%	
Feb-26	2,223	2,824			N.A.	2,175		2,268	2,988	
YTD price increase (%)	29%	30%				0%		17%	12%	
vs SGE gold price	92%	144%				88%		96%	158%	
vs CTF weighted gold price	40%	78%				37%		43%	88%	
Mar-26	2,223	2,824			N.A.	3,123		2,268	2,988	
YTD price increase (%)	29%	30%				44%		17%	12%	
vs SGE gold price	112%	170%				198%		116%	185%	
vs CTF weighted gold price	59%	102%				123%		62%	113%	
Apr-26	2,223	2,824			N.A.	3,123		2,268	2,988	
YTD price increase (%)	29%	30%				44%		17%	12%	
vs SGE gold price	119%	179%				208%		124%	195%	
vs CTF weighted gold price	61%	104%				125%		64%	116%	
May-26	2,223	2,824			N.A.	3,123		2,268	2,988	
YTD price increase (%)	29%	30%				44%		17%	12%	
vs SGE gold price	126%	187%				217%		130%	203%	
vs CTF weighted gold price	63%	107%				129%		66%	119%	
Jun-26	2,223	2,824	2,146	2,725	N.A.	3,123	3,034	2,268	2,988	2,160
YTD price increase (%)	29%	30%				44%		17%	12%	
vs SGE gold price	153%	221%	144%	210%		255%	245%	158%	240%	146%
vs CTF weighted gold price	81%	131%	75%	122%		155%	148%	85%	144%	76%

In Rmb. Based on tagged price.

Source: Taobao, Company data, Goldman Sachs Global Investment Research

Exhibit 5: Laopu's resale discount corrected with gold price correction

Transaction prices on platforms



Source: Xianyu, Red, Company data, Goldman Sachs Global Investment Research

Exhibit 6: Laopu's online sales were under pressure in 2Q

Tmall Flagship store	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Apr-26	May-26	Jun-26
Local brands													
Laopu Gold	185%	137%	176%	248%	545%	288%	784%	232%	155%	-63%	-64%	-50%	-71%
Chow Tai Fook	10%	6%	10%	187%	127%	38%	60%	-23%	-18%	8%	10%	-32%	61%
Luk Fook	16%	-23%	-16%	21%	54%	67%	127%	15%	12%	8%	-34%	0%	73%
Chow Tai Seng	90%	18%	28%	-13%	3%	-6%	17%	31%	-30%	-30%	-53%	-32%	-4%
Chow Sang Sang	12%	14%	26%	48%	139%	58%	-32%	-9%	-35%	-9%	-16%	-32%	45%
International brands													
Swarovski	-8%	n.a.	-18%	-16%	17%	n.a.	27%	-8%	-19%	0%	50%	10%	-23%
APM	-26%	n.a.	20%	108%	97%	n.a.	13%	50%	23%	3%	9%	0%	3%
Pandora	-38%	n.a.	-48%	20%	16%	n.a.	18%	-31%	-4%	4%	53%	-20%	8%

Source: Moojing, Goldman Sachs Global Investment Research

Competitive landscape: new players emerging yet scale remains much smaller; weight based products outperform amid gold price pull back

Multiple heritage gold brands emerged and have been expanding in the top tier shopping mall systems. While we view shopping mall access as not necessarily a barrier, with shopping malls eager to capture the heritage gold trend (evidenced by multiple heritage gold brands in MixC, Nanjing Deji, Shanghai IFC etc.), we believe Laopu enjoys moats include: 1) better location in the shopping malls, thanks to the brand's proved sales performance in the system; 2) stronger brand recognition and customer awareness, with Laopu as a pioneer in the heritage gold industry. Laopu's follower numbers on social media platform are notably higher than other heritage gold brands, and continue to increase at a decent pace; 3) larger scale, which enables Laopu to have more sufficient resources in inventory preparation, investment in stores and marketing. In fact, Laopu's

sales scale is more than 30x that of the second largest heritage gold focused player Jemper, in 2025, based on our estimation, with leading store productivity.

However, amid the gold price pull back, weight-based products have been gaining attraction over fixed priced products. In 2Q, Chow Tai Fook/Luk Fook outperformed in SSSG, driven by weight-based products. Meanwhile, pricing for fixed priced products is also relatively favorable compared to leading heritage gold-focused brands which conducted price hikes in 1Q — Chow Tai Fook withdrew a price hike which was planned in Mar; Luk Fook also adjusted prices/discounts based on the gold price trend.

Exhibit 7: Comparison table between Chinese Heritage Gold brands and MNC hard luxury brands

	Chinese Heritage Gold brands					MNC Hard Luxury	
	Laopu Gold 2009	Jemper 2004	BWF Gold 2012	Borland 1988	LamChiu 2006	Cartier 1847	Tiffany 1837
Founded year							
Founder background	Xu Gaoming (Former Arts & Crafts administrator)	Experts with deep roots in jadeite and high-jewelry inlay	n.a.	Descended from a dynastic lineage of Beijing gold smiths	Ma Chaoxian (Second-generation craftsman from Lanzhou. His family involved in gold smithing since 1977)	Louis-François Cartier (A jewelry apprentice)	Charles Lewis Tiffany (Started as a stationery shop owner)
(Potential/Core) drivers of the luxury positioning	Pioneer of heritage gold, distinct craftsmanship and service	Oriental new chic, distinct craftsmanship	Imperial craftsmanship	Imperial craftsmanship	Pure handmade and seal cutting	It served almost every royal house in Europe	Iconic 'Tiffany Blue', pioneering six-prong diamond setting, and cinematic influence
Positioned market	Heritage gold jewelry					Jewelry & Watches	Jewelry
Consumer profile	HNWIs with appreciation for Intangible Cultural Heritage (ICH)					Global HNWIs	Global HNWIs
Haute Couture	n.a.	n.a.	n.a.	n.a.	n.a.	Accessible via private salon appointments, delivering historical provenance	Specializes in custom designs and rare colored gemstones for VVIPs
Auctions (# of lots sold in Christie's)	n.a.	n.a.	n.a.	n.a.	n.a.	c.20k	c.9k
Iconic products and price							
	Pure gold, Diamond, Ruby (~15g) Rmb 43,896	Pure gold, Diamond, Ruby (~15g) Rmb 41,830	Pure gold, Diamond, Ruby (~15g) Rmb 43,000	Pure gold (~15g) Rmb 32,229	Pure gold (~15g) Rmb 36,900	18k gold, Diamond Rmb 42,500	18k gold, Diamond Rmb 17,400
Exclusivity	Sufficient inventory	Sufficient inventory	Sufficient inventory	Sufficient inventory	Lead time >6M ~40% discount	Sufficient inventory	Sufficient inventory
Resale discount of regular SKUs (as of Jun-26)	~32% discount	~32% discount	n.a.	~44% discount		~43% discount	~63% discount
GMV by channels							
GMV (Rmb mn)	31,440	900	n.a.	300	500	11,584	8,085
# of boutiques (2025)	45	8	7	3	1	52	34
Avg sales per boutique (Rmb mn)	559	150	n.a.	100	500	204	237
Online GMV (Rmb mn)	5,363	156	n.a.	n.a.	208	962	10
Online GMV mix	17%	17%	n.a.	n.a.	42%	8%	0.1%
Globalization historical path	Overseas revenue mix increased c.15% in the past 5 years, and will expand to SIN/TYO apart from HK/MAC, focusing on Global Chinese	n.a.	n.a.	n.a.	n.a.	US: Focused on high-society gifting since 1900s; CN: Entered as a watch specialist in 1992, later dominating the bridal segment.	EU: Positioned as a fresh, romantic alternative since 1980s; CN: Investment in Gen Z & digital marketing since 2000s
Home market GMV mix (%)	86%	~100%	~100%	~100%	~100%	France: ~8%	US: ~30%
Marketing cost to sales ratio - Group level	Advertising ratio: 0.4%	n.a.	n.a.	n.a.	n.a.	Richemont - Communication ratio: 8.9%	LVMH - advertising ratio: 11.4%
Followers in Red (as of Jun-26, in k)	253	73	3	23	183	262	357
# of notes mentioned in Red (past 30 days)	6,300	2,000	68	180	200	7,500	3,000
Channel strategy	Focusing on top-tier luxury malls	Focusing on top-tier luxury malls and digital marketing through Red	Opening stores across multi-tier cities	Focusing on top-tier luxury malls	Prioritizing exclusivity	Leveraging high-end department stores and prestigious red-carpet sponsorships	Dominating prime global retail hubs and utilizing digital marketing through Ins
Financials (2025)							
Revenue - Group level (\$mn)	3,792	n.a.	n.a.	n.a.	n.a.	Richemont: 26,007	LVMH: 93,736
GPM - Group level	38%	n.a.	n.a.	n.a.	n.a.	Richemont: 64.4%	LVMH: 66.2%
NPM - Group level	18%	n.a.	n.a.	n.a.	n.a.	Richemont: 15.5%	LVMH: 13.5%

Source: Tmall, Xianyu, Company data, Goldman Sachs Global Investment Research

Exhibit 8: Store locations of Chinese heritage brands

# of Mail	Laopu Gold	Jemper	Borland	LamChiu	BWF Gold	LAWANIA	Duobao Pavilion	Gong's Jewelry	LaoDian Gold	Dun Gold
Mainland China	29	13	4	2	8	3	3	4	2	2
HK&Macau	5	0	0	0	0	0	0	0	0	0
Total	34	13	4	2	8	3	3	4	2	2
Tier 1 City	Laopu Gold	Jemper	Borland	LamChiu	BWF Gold	LAWANIA	Duobao Pavilion	Gong's Jewelry	LaoDian Gold	Dun Gold
Beijing	World Trade Center*2 WF Central SKP*4 Oriental Plaza Boutique*2 Gongmei Emporium Wangfujing Department Store DTS1	World Trade Center								
Shanghai	IFC Plaza 66 Grand Gateway 66 Yuyuan Shanghai Xintiandi	IFC Yuyuan			IFC Plaza 66					Yuyuan
Shenzhen	MixC*4 Bay MixC MixC World	MixC Bay MixC	MixC				Bay MixC			
Guangzhou	TaiKoo Hui*2	TaiKoo Hui								
Nanjing	Deji Plaza*2 IFC	Deji Plaza	Deji Plaza	Deji Plaza	Deji Plaza	Deji Plaza	Deji Plaza	Deji Plaza		
X'ian	SKP									
Hangzhou	MixC*2 Hangzhou Tower SKP	MixC Hangzhou Tower	MixC Hangzhou Tower				MixC	MixC Hangzhou Tower		
Wuhan	Wushang World Trade Plaza									
Chengdu	IFS SKP							IFS		
Tianjin	MixC	Tai Koo Li								
Chongqing					Hisense Plaza Store					
Suzhou					Starlight 68 Plaza					
Changsha							Gold Museum Cultural Flagship Store			
Hefei	David Plaza*2								Hefei Gulou	
Zhengzhou										
Wuxi					Hisense Plaza Store					
Qingdao										
Ningbo					Hankyu Heyi Avenue					
Tier 2 City										
Shenyang	MixC*2	MixC								
Xiamen	MixC*2									
Jinan										
Changchun		MixC								
Tier 3 City										
Suzhou									Wanda Plaza	
Lanzhou					Jincheng Road					
Dunhuang										Mogao Cave
HK&Macau										
Hong Kong	Harbor City*2 Canton Road IFC									
Macau	Venetian*2 The Parisian Macao									

Data was compiled as of Jun-end, 2026

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 9: Laopu's followers on e-commerce and social media platforms continues to expand

Followers # (k)	Mar-26			Apr-26			Jun-26			vs May-25			vs Apr-26		
	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED
Domestic traditional jewelers															
Chow Tai Fook	8,980	2,049	424	9,010	2,048	425	9,180	2,071	428	8%	2%	11%	1.9%	1.1%	0.7%
Chow Sang Sang	7,460	851	152	7,477	849	156	7,540	852	158	4%	4%	25%	0.8%	0.4%	1.3%
Chow Tai Seng	6,640	4,345	176	6,660	4,322	175	6,750	4,276	176	6%	-7%	1%	1.4%	-1.1%	0.4%
Luk Fook	3,840	596	192	3,860	604	197	3,910	609	198	6%	10%	9%	1.3%	0.8%	0.8%
CHJ	4,690	381	141	4,710	381	141	4,770	384	142	9%	n.a.	11%	1.3%	0.8%	0.4%
Laomiao	2,250	2,169	64	2,260	2,162	65	2,330	2,148	65	19%	-5%	31%	3.1%	-0.6%	0.2%
Laopu	1,200	145	226	1,210	146	234	1,240	148	254	39%	38%	106%	2.5%	1.4%	8.5%
China Gold	1,240	45	36	1,241	46	n.a.	1,260	48	36	17%	n.a.	-5%	1.5%	4.3%	n.a.
International jewelers															
Swarovski	5,990	572	89	6,003	574	89	6,030	583	90	2%	12%	9%	0.4%	1.6%	0.8%
Pandora	5,099	209	103	5,099	208	104	5,117	211	105	1%	9%	23%	0.3%	1.4%	1.2%
APM	4,477	665	194	4,502	670	196	4,552	677	201	7%	23%	22%	1.1%	1.0%	2.3%
Cartier	2,469	1,787	257	2,476	1,782	259	2,497	1,774	263	6%	-2%	12%	0.8%	-0.4%	1.4%
Van Cleef & Arpels	1,129	292	234	1,137	291	237	1,140	290	242	15%	4%	24%	0.3%	-0.3%	2.3%
Tiffany	460	1,645	347	462	1,646	352	467	1,635	358	9%	-1%	13%	1.1%	-0.7%	1.7%
Qeelin	614	53	176	616	58	179	622	73	189	8%	n.a.	64%	1.0%	25.9%	5.6%
Bulgari	1,347	402	243	1,379	401	245	1,477	400	250	104%	8%	20%	7.1%	-0.2%	1.9%

Source: Tmall, Douyin, Red Book

Earnings and TP revision

Earnings revisions

We revise down 2026E earnings forecast by 9%, reflecting a lowered sales forecast yet partially offset by the higher GPM under a weaker gold price backdrop compared to our earlier forecast. **1) Sales:** we lower 2026E sales forecast by 22% reflecting headwinds from the gold price. We expect monthly sales in 2H26 to be better than 2Q26 given the gradual recovery of consumption sentiment post price hikes, digestion of reseller inventory, along with downward pricing actions (e.g. lowered price for new products,

and the company is willing to accelerate the pace of new product launches to stimulate market demand per management), **2) GPM:** we revise up GPM forecast to 45% for the full year, or 48% in 2H26 with gold price correction. That said, compared to current gold price implied ~50% GPM, our GPM forecast is slightly lower for 2H26 considering the company's price actions to be implemented, **3) OPEX:** We revise down SG&A expenses by 20% which is smaller than revenue downward revision, considering staff-related costs are relatively fixed. That said, rental/commission expenses are largely variable. Net net, our NP forecast was revised down by 9% to Rmb8bn. For 2027-28E, we revise down net profit forecast by 19%-22%, driven by slower sales growth (we now expect SSSG at negative 10% in 2027E compared to positive 5% prior, implying store productivity back to 2025's level), partially offset by higher GPM forecast.

Exhibit 10: Earnings revisions

RMB mn	Dec-26 2026E			Dec-27 2027E			Dec-28 2028E		
Accounting standards: HKFRS									
Income statement	New	Old	Var	New	Old	Var	New	Old	Var
Revenue	33,977	43,375	-21.7%	33,694	49,354	-31.7%	36,917	54,446	-32.2%
ML China	27,946	36,083	-22.6%	26,014	38,974	-33.3%	27,687	41,868	-33.9%
HK&Macau and overseas	6,031	7,292	-17.3%	7,680	10,380	-26.0%	9,229	12,578	-26.6%
Cost of sales	(18,807)	(25,972)	-27.6%	(18,309)	(29,548)	-38.0%	(20,427)	(32,593)	-37.3%
Gross profit	15,169	17,403	-12.8%	15,385	19,805	-22.3%	16,490	21,853	-24.5%
SG&A	(4,502)	(5,658)	-20.4%	(4,558)	(6,435)	-29.2%	(5,030)	(7,129)	-29.4%
Selling and distribution expense	(3,888)	(4,982)	-22.0%	(3,920)	(5,694)	-31.2%	(4,358)	(6,348)	-31.3%
General and administrative expense	(587)	(648)	-9.5%	(607)	(711)	-14.5%	(640)	(748)	-14.5%
R&D expense	(28)	(28)	0.0%	(31)	(31)	0.0%	(32)	(32)	0.0%
Operating profit (loss)	10,668	11,745	-9.2%	10,827	13,370	-19.0%	11,459	14,724	-22.2%
Net interest income/(expense)	(82)	(79)	3.7%	(21)	(60)	-65.2%	(104)	(151)	-31.1%
Other income (excl. interest income)	4	4	0.0%	4	4	0.0%	4	4	0.0%
Other expense, net	-	-	n.m.	-	-	n.m.	-	-	n.m.
Profit before tax	10,589	11,670	-9.3%	10,809	13,314	-18.8%	11,359	14,577	-22.1%
Income tax benefit (expense)	(2,626)	(2,894)	-9.3%	(2,702)	(3,328)	-18.8%	(2,840)	(3,644)	-22.1%
Minority interests	-	-	n.m.	-	-	n.m.	-	-	n.m.
NI attributed to equity shareholders	7,963	8,776	-9.3%	8,107	9,985	-18.8%	8,519	10,933	-22.1%
Adj NI	8,013	8,826	-9.2%	8,127	10,005	-18.8%	8,539	10,953	-22.0%
Dividend announced	5,972	6,582	-9.3%	6,080	7,489	-18.8%	6,389	8,199	-22.1%
Margin / % Of Company Sales									
GP margin	44.6%	40.1%	4.5%	45.7%	40.1%	5.5%	44.7%	40.1%	4.5%
OP margin	31.4%	27.1%	4.3%	32.1%	27.1%	5.0%	31.0%	27.0%	4.0%
Net margin	23.4%	20.2%	3.2%	24.1%	20.2%	3.8%	23.1%	20.1%	3.0%
Adj NPM	23.6%	20.3%	3.2%	24.1%	20.3%	3.8%	23.1%	20.1%	3.0%
SG&A expense	13.2%	13.0%	0.2%	13.5%	13.0%	0.5%	13.6%	13.1%	0.5%
Selling and distribution expense	11.4%	11.5%	0.0%	11.6%	11.5%	0.1%	11.8%	11.7%	0.1%
General and administrative expense	1.7%	1.5%	0.2%	1.8%	1.4%	0.4%	1.7%	1.4%	0.4%
R&D expense	0.1%	0.1%	0.0%	0.1%	0.1%	0.0%	0.1%	0.1%	0.0%
Effective Tax Rate	24.8%	24.8%	0.0%	25.0%	25.0%	0.0%	25.0%	25.0%	0.0%
Dividend payout	75.0%	75.0%	0.0%	75.0%	75.0%	0.0%	75.0%	75.0%	0.0%
Operation metrics									
Number of boutiques	49	48	2%	55	54	2%	59	58	2%
ML China	40	39	3%	42	41	2%	44	43	2%
HK&Macau and overseas	9	9	0%	13	13	0%	15	15	0%
SSSG	8%	40%	-32%	-10%	5%	-15%	2%	3%	-1%
ML China	8%	40%	-32%	-10%	5%	-15%	2%	3%	-1%
HK&Macau and overseas	8%	40%	-32%	-10%	5%	-15%	2%	3%	-1%
Store productivity									
ML China	575	728	-21%	520	764	-32%	530	785	-33%
HK&Macau and overseas	804	972	-17%	698	944	-26%	659	898	-27%

Source: Goldman Sachs Global Investment Research

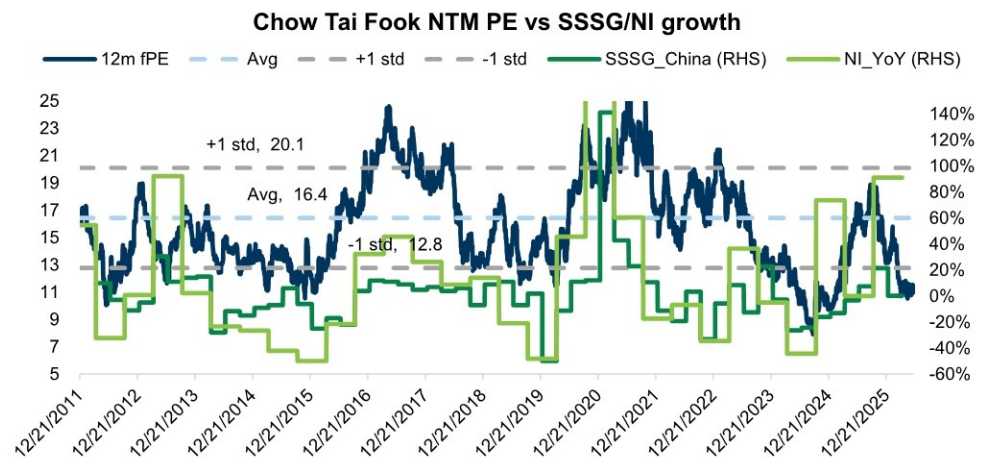
Valuation

We revise down 2026E PE multiple to 13X (from 20X prior), reflecting slower earnings growth and near term SSSG pressure from last year's high base, amid gold price headwinds. The 13X multiple is the same as the multiple we apply to Chow Tai Fook, and in line with the average multiple of Chow Tai Fook during CY2Q24-2Q25 when SSSG was facing pressure, as well as Pop Mart's trading multiple reflecting market concerns on the growth outlook with near term sales growth decelerating after a strong upcycle. That said, we believe Laopu's return profile remains stronger, and the company's relatively high dividend payout ratio implies ~10% dividend yield based on current share price.

Exhibit 11: Financial ratios comparison

ROE		2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
6181.HK	Laopu										12%	35%	54%	65%	60%	49%	45%
1929.HK	Chow Tai Fook	20%	14%	8%	9%	12%	14%	10%	21%	20%	16%	22%	22%	30%	31%	29%	27%
0590.HK	Luk Fook	26%	20%	11%	11%	14%	14%	8%	9%	12%	11%	14%	8%	14%	13%	12%	13%
002867.SZ	Chow Tai Seng	22%	27%	26%	28%	24%	22%	23%	20%	22%	18%	21%	16%	17%	19%	19%	20%
ROIC																	
6181.HK	Laopu										10%	30%	45%	49%	56%	63%	65%
1929.HK	Chow Tai Fook	20%	12%	9%	10%	11%	13%	10%	16%	19%	17%	23%	27%	34%	22%	22%	22%
0590.HK	Luk Fook	19%	13%	9%	10%	11%	11%	7%	11%	15%	14%	15%	9%	14%	12%	11%	12%
002867.SZ	Chow Tai Seng	20%	22%	22%	29%	30%	30%	35%	36%	35%	24%	26%	19%	19%	20%	20%	21%
FCF as % of sales																	
6181.HK	Laopu									1%	3%	-6%	-18%	-27%	31%	26%	21%
1929.HK	Chow Tai Fook	-9%	8%	23%	11%	3%	11%	13%	14%	13%	9%	12%	11%	1%	8%	10%	10%
0590.HK	Luk Fook	4%	1%	14%	4%	2%	-7%	19%	20%	-1%	8%	4%	-2%	-7%	-4%	5%	6%
002867.SZ	Chow Tai Seng	11%	3%	11%	13%	8%	0%	11%	24%	0%	8%	0%	12%	4%	15%	14%	13%
Dividend yield																	
6181.HK	Laopu														10%	10%	11%
1929.HK	Chow Tai Fook														6%	6%	6%
0590.HK	Luk Fook														7%	7%	7%
002867.SZ	Chow Tai Seng														8%	8%	9%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 12: Chow Tai Fook's 12m forward P/E is positively correlated with SSSG/Ni growth

Source: Bloomberg

Scenario analysis

At a store level, we view store profitability sensitivity as relatively low to sales changes even if sales drop significantly, given rental cost (which is more than half of the OPEX at store level) is largely variable, and the operating leverage mainly comes from staff cost and D&A cost when sales levels drop. Payback period would extend with sales drop and higher capex for upgraded stores, yet remains quite short. That said, if the company faces rental terms with higher commission rates, or lower GPM, store level profitability could see more impact.

Exhibit 13: Store UE sensitivity to sales level is relatively low if GPM/rental take rate not changed

In RMB k	Laopu (2025)	Laopu (2026)	Scenario I	Scenario II	Scenario III	Scenario IV
Key operational item						
Average store size (sqm)	110	140	220	220	220	220
Initial investment	37,000	40,273	49,000	49,000	49,000	49,000
Upfront inventory	25,000	25,000	25,000	25,000	25,000	25,000
Others (decoration etc.)	12,000	15,273	24,000	24,000	24,000	24,000
CAPEX/sqm	109	109	109	109	109	109
Sales/sqm	5,083	4,371	2,225	2,225	1,026	1,026
Rent/sqm	442	380	194	238	89	110
Staff per store	20	25	40	40	40	40
Salary per staff	377	377	377	377	377	377
Store economics						
Sales	559,161	611,927	489,541	489,541	225,768	225,768
Sales vs. 2026			-20%	-20%	-63%	-63%
COGS	(343,828)	(333,290)	(266,632)	(291,109)	(122,966)	(134,254)
Gross profit	215,333	278,636	222,909	198,432	102,802	91,513
Opex						
Salary (fixed)	(7,544)	(9,430)	(15,089)	(15,089)	(15,089)	(15,089)
Rental/Concessionaire (variable)	(48,647)	(53,238)	(42,590)	(52,381)	(19,642)	(24,157)
Depreciation (fixed)	(2,400)	(3,055)	(4,800)	(4,800)	(4,800)	(4,800)
Others (variable)	(11,183)	(12,239)	(9,791)	(9,791)	(4,515)	(4,515)
Operating income	145,558	200,675	150,639	116,372	58,756	42,952
EBITDA						
Cash profit	111,569	153,561	117,780	92,079	48,867	37,014
Net income	109,169	150,506	112,980	87,279	44,067	32,214
Cost structure						
GPM	39%	46%	46%	41%	46%	41%
% of gold products	40%	40%	40%	40%	40%	40%
GPM of gold products	33%	40%	40%	35%	40%	35%
GPM of gem-set products	42%	49%	49%	44%	49%	44%
Total OPEX	12%	13%	15%	17%	20%	22%
Salary	1%	2%	3%	3%	7%	7%
Rental/Concessionaire	9%	9%	9%	11%	9%	11%
Depreciation	0%	0%	1%	1%	2%	2%
Others	2%	2%	2%	2%	2%	2%
OPM	26%	33%	31%	24%	26%	19%
EBITDA margin	26%	33%	32%	25%	28%	21%
Effective tax rate	25%	25%	25%	25%	25%	25%
NPM	20%	25%	23%	18%	20%	14%
Return profile						
ROIC based on EBITDA (excl. inventory)	1233%	1334%	648%	505%	265%	199%
Payback (month, excl. inventory)	1.0	0.9	1.9	2.4	4.5	6.0
ROIC based on EBITDA (incl. inventory)	400%	506%	317%	247%	130%	97%
Payback (year, incl. inventory)	0.3	0.2	0.3	0.4	0.8	1.0

We assume new store size is 2x of 2025's level in each scenario. In scenario II and IV, we assume lower GPM and higher rental commission compared to 2026 level.

Source: Company data, Goldman Sachs Global Investment Research

We build a scenario analysis to gauge Laopu's earnings performance under different sales and GPM.

- **Scenario I:** We assume GPM drops to 1Q's level of low 40% with downward price actions rolling out; however, we assume the company's quarterly sales of Rmb4bn in 2H26, similar to 2Q sales level based on GSe implying no improvement on consumption sentiment and no contribution to overall sales from the newly opened/upgraded stores. Under this scenario, Laopu's net income arrives at Rmb6.1bn, with current share price implying 10x 2026E P/E. If using the 2Q-4Q run rate and assume 60% annual NP contribution from 2Q-4Q, the annualized net income arrives at Rmb4bn implying 15x P/E.
- **Scenario II:** We assume the company's GPM in 2Q-4Q26 to remain at 50% level and a quarterly sales of Rmb4bn, similar to 2Q sales level based on GSe. Under this scenario, Laopu's net income arrives at Rmb6.7bn, with current share price implying

9x 2026E P/E. If using the 2Q-4Q run rate and assuming a 60% annual NP contribution from 2Q-4Q, the annualized net income arrives at Rmb4.9bn implying 12x P/E.

- **Scenario II:** We assume topline to be same as GSe, while the company needs to further lower GPM to achieve this sales level, and we assume GPM in 2H26 at 1Q26's level. Under this scenario, Laopu's net income arrives at Rmb7.4bn, with current share price implying 8x 2026E P/E.
- **Scenario IV:** We assume the company's GPM in 2H26 lowers to 1Q's level at low 40%, and we assume monthly sales in 2H26 to improve to Rmb3bn, which is similar to the level in Mar 2026 after price hikes. Under this scenario, Laopu's net income arrives at Rmb8.6bn, with current share price implying 7x 2026E P/E.

Exhibit 14: Scenario analysis on Laopu's earnings under different sales growth and GPM scenarios

Rmb mn	2024	2025	2026E	2026E scenarios			
				Scenario I	Scenario II	Scenario III	Scenario V
China	7,651	23,361	27,946	23,873	23,873	27,946	32,098
yoy		205%	20%	2%	2%	20%	37%
Market share in jewelry	0.9%	2.8%	3.1%	2.6%	2.6%	3.1%	3.6%
Boutiques	6,595	18,704	22,729	19,417	19,417	22,729	26,107
Store count	32	39	40	40	40	40	40
Avg store count	30	36	40	40	40	40	40
Store productivity	220	527	575	492	492	575	661
Store productivity yoy	123%	140%	9%	-7%	-7%	9%	25%
Online (assume growth in line with boutiques)	1,055	4,657	5,216	4,456	4,456	5,216	5,991
Overseas	855	3,942	6,031	5,152	5,152	6,031	6,927
Overseas mix	10%	14%	18%	18%	18%	18%	18%
Total sales	8,506	27,303	33,977	29,025	29,025	33,977	39,026
yoy		221%	24%	6%	6%	24%	43%
Implied quarterly sales in 2Q-4Q26			5,659	4,008	4,008	5,659	7,342
Implied sales in 2H26 (based on GSe for 1H26)			12,951	8,000	8,000	12,951	18,000
Gross profit	3,501	10,274	15,169	12,220	12,923	14,293	16,363
GPM	41%	38%	45%	42%	45%	42%	42%
GPM for 2H26			48%	41%	50%	41%	41%
Implied price cut (assume cost at US\$4200/oz)			-4%	-15%	0%	-15%	-15%
OPEX	1,528	3,724	4,502	4,108	4,108	4,502	4,903
OPEX ratio	18.0%	13.6%	13.2%	14.2%	14.2%	13.2%	12.6%
adj. Net income	1,531	5,029	8,013	6,091	6,620	7,354	8,609
adj. NPM	18.0%	18.4%	23.6%	21.0%	22.8%	21.6%	22.1%
yoy		229%	59%	21%	32%	46%	71%
Implied 2026E PE			7.3	9.6	8.9	8.0	6.8
Annualized net income							
(assume 2-4Q contributes 60%)			7,189	3,985	4,866	6,090	8,181
ImpliedPE			8.2	14.7	12.1	9.6	7.2

Assume OPEX is 40% fixed. We use the mid point of company's 1Q operating results, i.e. Rmb17bn sales and Rmb3.7bn net profit

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Laopu Gold

We derive our 12-m TP of HK\$650 for Laopu Gold on a 13x 2026E target P/E. Key risks include: 1) potential gold price slump, 2) tough regulatory environment for luxury consumption, 3) regional concentration, and 4) overhang of IPO shares post lock-up expiry.

6181.HK	12m Price Target: HK\$650.00	Price: HK\$391.20	Upside: 66.2%
---------	------------------------------	-------------------	---------------

Buy	GS Forecast				
Market cap: HK\$67.6bn / \$8.6bn Enterprise value: HK\$65.2bn / \$8.3bn 3m ADTV: HK\$578.3mn / \$73.8mn China Greater China Retail M&A Rank: 3 Leases incl. in net debt & EV?: Yes		12/25	12/26E	12/27E	12/28E
	Revenue (Rmb mn) New	27,303.2	33,976.6	33,693.7	36,916.5
	Revenue (Rmb mn) Old	27,303.2	43,375.5	49,353.7	54,446.3
	EBITDA (Rmb mn)	6,888.6	11,065.5	11,286.9	11,971.8
	EPS (Rmb) New	28.25	45.15	45.96	48.30
	EPS (Rmb) Old	28.25	49.75	56.61	61.98
	P/E (X)	22.5	7.5	7.4	7.0
	P/B (X)	10.1	3.9	3.4	3.0
	Dividend yield (%)	3.4	10.0	10.2	10.7
	CROCI (%)	53.7	55.5	59.9	61.2
		6/25	12/25	6/26E	12/26E
	EPS (Rmb)	13.31	14.89	26.90	18.24

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Jul 2026 close.

Disclosure Appendix

Reg AC

We, Xinyu Ruan and Michelle Cheng, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Xinyu Ruan Goldman Sachs (Asia) L.L.C., Michelle Cheng Goldman Sachs (Asia) L.L.C., Molly Dai Goldman Sachs (Asia) L.L.C..

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Laopu Gold is/are relative to the other companies in its/their coverage universe: Anta Sports Products, Bloks Group Ltd., Bosideng International Holdings, Chagee Holdings, Chow Tai Fook Jewellery Group, Chow Tai Seng Jewellery, Eclat Textile Co., Feng Tay Enterprises, Gourmet Master Co., Guming Holdings Ltd., Haidilao International Holding, Huali Industrial Group, Jiumaojiu, Juwei Food, Laopu Gold, Li Ning Co., Luckin Coffee Inc., Luk Fook Holdings, Makalot Industrial Co, Miniso (ADR), Miniso (H), Mixue Group, Pop Mart, Pou Sheng International Holdings, President Chain Store, Shanghai M&G, Shenzhen International Group, Stella International Holdings, Topsports Intl Holdings, Uni-President Enterprises, Xtep International Holdings, Yue Yuen Industrial, Yum China Holdings (ADR), Yum China Holdings (H)

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs has received compensation for investment banking services in the past 12 months: Laopu Gold (HK\$391.20)

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: Laopu Gold (HK\$391.20)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: Laopu Gold (HK\$391.20)

Goldman Sachs has managed or co-managed a public or Rule 144A offering in the past 12 months: Laopu Gold (HK\$391.20)

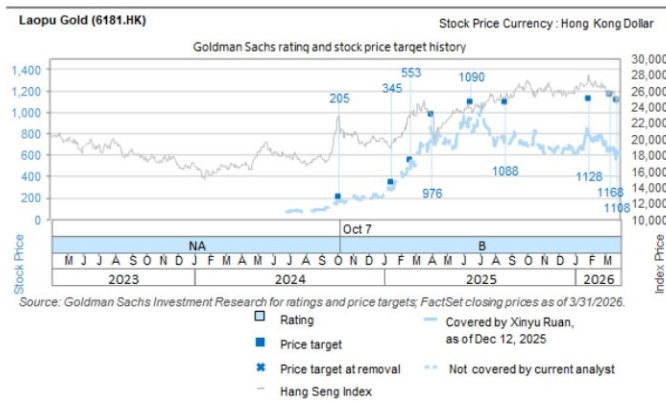
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	60%	45%

As of April 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,074 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Laopu Gold (6181.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
24-Mar-26	1,108.00	648.50
11-Mar-26	1,168.00	654.00
29-Jan-26	1,128.00	787.50
21-Aug-25	1,088.00	751.00
17-Jun-25	1,090.00	881.50
03-Apr-25	976.00	800.00
20-Feb-25	553.00	468.40
15-Jan-25	345.00	281.00
07-Oct-24	205.00	175.00

Price targets shown in table(s) are unadjusted for corporate actions.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities

and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: <https://www.goldmansachs.com/worldwide/india/research-analyst>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at <https://www.gs.com/research/hedge.html>.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United

Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.